CUSTOMER CHURN & RETENTION EXECUTIVE SUMMARY

TELCO CUSTOMER CHURN ANALYTICS | TASK 4 DELIVERABLE | COMPREHENSIVE SYNTHESIS

TOTAL CUSTOMERS	CHURNED USERS	OVERALL CHURN RATE	AVG MONTHLY CHARGES	MONTHLY REVENUE AT RISK
7,043 Cleaned Telco Cohort	**1,869** Lost Subscribers	**26.54%** Baseline Benchmark	**$64.76** Entire Base Average	**$139,130.85** Active MRR Drain

1. FIVE CORE ANALYTICAL FINDINGS

- **1. Contract Commitment Gap:** Month-to-month contracts exhibit an acute churn rate of **42.71%** (1,655 lost accounts), compared to **11.27%** for One-year and an ultra-stable **2.83%** for Two-year contracts. Flexible terms constitute the primary structural churn gateway.
- **2. First-Year Vulnerability Window:** Subscribers in tenure bucket 0–12 months suffer peak attrition of **47.44%**. Flight risk decays drastically over time (28.71% at 13–24 mos, 20.39% at 25–48 mos, down to **9.51%** at 49+ mos), proving tenure maturity builds severe retention inertia.
- **3. Monthly Price Surcharge & Value Fatigue:** Churned subscribers pay an average of **$74.44/month**, compared to **$61.27/month** for retained customers—a statistically significant **+$13.17 surcharge** (21.5% premium). High monthly recurring fees without perceived utility drive cancellation.
- **4. Payment Channel Friction:** Electronic check subscribers churn at **45.29%**, more than 2.9× the rate of automatic payment methods (Bank Transfer at **16.71%** and Credit Card at **15.24%**). Manual billing introduces monthly renewal decision friction.
- **5. Tech Support & Security Deficit:** Subscribers without Tech Support churn at **41.64%** (vs. 15.17% with), and those lacking Online Security churn at **41.77%** (vs. 14.61% with). Customers lacking support touchpoints drop off rapidly when encountering service issues.

2. STATISTICAL HYPOTHESIS TESTING EVIDENCE (A = 0.05)

TEST FOCUS	STATISTICAL METHOD & VARIABLES	TEST STATISTIC	P-VALUE	DECISION	ANALYTICAL INTERPRETATION
Test 1: Contract vs. Churn	Chi-Square Test of Independence (Contract Type × Churn Status)	**$\chi^2 = 1184.60$ (df = 2)**	**$p < 0.0001$ (5.86×10^{-258})**	**Reject H_0** Statistically Significant	Contract duration strongly dictates flight probability; lack of long-term lock-in directly accelerates churn.
Test 2: Charges vs. Churn	Independent Two-Sample Welch's T-Test (MonthlyCharges by Churn Status)	**$t = 18.42$ (df = 3480)**	**$p < 0.0001$ (8.59×10^{-73})**	**Reject H_0** Statistically Significant	Churned users face significantly higher fees ($74.44 vs $61.27); premium pricing correlates heavily with departure.

3. SEGMENT ANALYSIS & REVENUE AT RISK

CUSTOMER SEGMENT	RULE DEFINITION	COUNT	AVG TENURE	AVG MONTHLY FEE	CHURN RATE
High-Risk New	Tenure ≤ 12 mos & MonthlyCharges ≥ $65	1,001	5.1 mos	**$81.72**	**66.43%**
Standard New	Tenure ≤ 12 mos & MonthlyCharges < $65	1,185	4.8 mos	$31.95	31.39%
High-Value Loyal	Tenure > 24 mos & MonthlyCharges ≥ $65	2,379	54.2 mos	**$90.15**	19.46%
Standard Retained	All Other Accounts (Mid-tenure / Base)	2,478	36.7 mos	$48.22	14.89%

Strategic Takeaway on Revenue at Risk: The **High-Risk New** segment represents the company's single largest leak. While making up only 14.2% of the user base, 2 out of 3 customers in this bracket churn within their first few months while paying high rates ($81.72/mo). Interventions concentrated on this cohort protect the lion's share of the **$139,130.85** in recurring monthly revenue currently lost to churn.

STRATEGIC RETENTION INTERVENTIONS & EXECUTION PLAN

EVIDENCE-BASED ACTION MATRIX | OPERATIONAL ROADMAP | IMPACT PROJECTIONS

4. FIVE EVIDENCE-LINKED PRACTICAL RECOMMENDATIONS

INTERVENTION	EMPIRICAL EVIDENCE	ACTIONABLE STRATEGY & EXECUTION DETAILS	TARGET KPI & IMPACT
1. Term Commitment Incentive	Month-to-month users churn at 42.71% vs. 11.27% for 1-yr and 2.83% for 2-yr contracts.	Implement an annual contract conversion package: offer a guaranteed 12-month rate-lock or a $10/mo bill credit for 6 months upon switching from flexible terms to an annual contract.	**Convert 20% of M2M base; Reduce overall churn by 4.5%–6.0%.**
2. 90-Day Proactive Onboarding	Peak attrition occurs in the 0–12 month window (47.44%), concentrated in months 1–3.	Establish automated customer success check-ins at Days 15, 30, 60, and 90. Provide dedicated VIP technical setup assistance and ensure self-service portal engagement.	**Reduce early-tenure (0–12 mo) churn from 47.4% down to <35%.**
3. Auto-Pay Migration Campaign	Electronic check users churn at 45.29% vs. 15.24% for auto credit card and 16.71% for ACH.	Provide a one-time $15 account credit for customers enrolling in automated credit card or direct bank debit payments. Phase out friction-heavy manual electronic check options.	**Migrate 30% of e-check users;** **Lower payment-cohort churn by ~12%.**
4. Complimentary Security Bundling	Accounts without Tech Support (41.6%) and Online Security (41.8%) churn heavily.	Bundle 90 days of free Online Security and Tech Support into premium Fiber Optic plans, transitioning to a heavily discounted add-on bundle afterwards to deepen product stickiness.	**Lift add-on penetration to >50%;** **Drop fiber plan churn to <25%.**
5. High-Risk Account Early Triage	High-Risk New segment churns at 66.43% with premium bills ($81.72/mo).	Deploy an automated early-warning monitoring flag: trigger proactive customer care outreach when high-fee accounts log service tickets or decrease network usage.	**Salvage $35,000–$50,000/mo in recurring Monthly Revenue at Risk.**

5. IMPLEMENTATION ROADMAP & KPI TRACKING

TIMELINE PHASE	CORE DELIVERABLE & TACTICAL EXECUTION	DEPARTMENT OWNER	REVIEW CADENCE
Phase 1: Immediate (Days 1–30)	Launch Auto-Pay migration incentive campaign ($15 one-time credit) and deploy the High-Risk New customer monitoring trigger.	Billing Operations & Customer Care	Weekly operational churn tracker
Phase 2: Short-Term (Days 31–60)	Roll out the 90-Day New Customer Success onboarding sequence; integrate automated service check-ins on Days 15, 45, and 75.	Customer Success & Technical Support	Bi-weekly onboarding cohort analysis
Phase 3: Medium-Term (Days 61–90)	Restructure product tiers: bundle free trial Tech Support into Fiber Optic and initiate the 1-year rate-lock promotional upgrade drive.	Product Marketing & Sales Leadership	Monthly executive dashboard review

Executive KPI Scorecard: Success will be evaluated against three primary quarterly metrics: (1) **Net Churn Rate Reduction** from 26.54% toward an interim goal of ≤21.0%; (2) **Contract Term Migration Rate** achieving >1,200 annual conversions; and (3) **Revenue Preserved** targeting >$40,000 in monthly recurring charges saved.